Measuring the Pulse of Prosperity:
An Index of Economic Freedom Analysis

1. Introduction

Economic freedom is the fundamental right of every individual to control their own labor and property. In an economically free society, people can work, produce, consume, and invest according to their own choices.

Governments in economically free countries allow the free movement of labor, capital, and goods while maintaining systems that protect liberty and property rights.

Historically, many societies lacked economic freedom, leading to widespread poverty and limited opportunities. However, in the modern era, economic freedom has contributed significantly to global prosperity. Improvements in open markets, efficient regulation, and rule of law have helped reduce poverty and improve living standards worldwide.

The **Index of Economic Freedom**, published annually by the Heritage Foundation, evaluates the degree of economic freedom in countries around the world. The 2022 index measures how policies and institutions support economic prosperity.

2. Abstract

This project analyzes the **Index of Economic Freedom for the year 2022** using Tableau data visualization tools.

The study explores relationships between economic indicators such as:

- GDP growth rate
- Inflation rate
- Unemployment rate
- Population
- Financial freedom

- Monetary freedom

Using interactive dashboards and visual analytics, the project identifies patterns and relationships that influence economic performance. These visualizations help understand how economic freedom impacts prosperity and economic stability across different countries

3. Methodology

Economic freedom is evaluated using **12 indicators**, grouped into four pillars:

Rule of Law

- Property Rights
- Government Integrity
- Judicial Effectiveness

Government Size

- Government Spending
- Tax Burden
- Fiscal Health

Regulatory Efficiency

- Business Freedom
- Labor Freedom
- Monetary Freedom

Open Markets

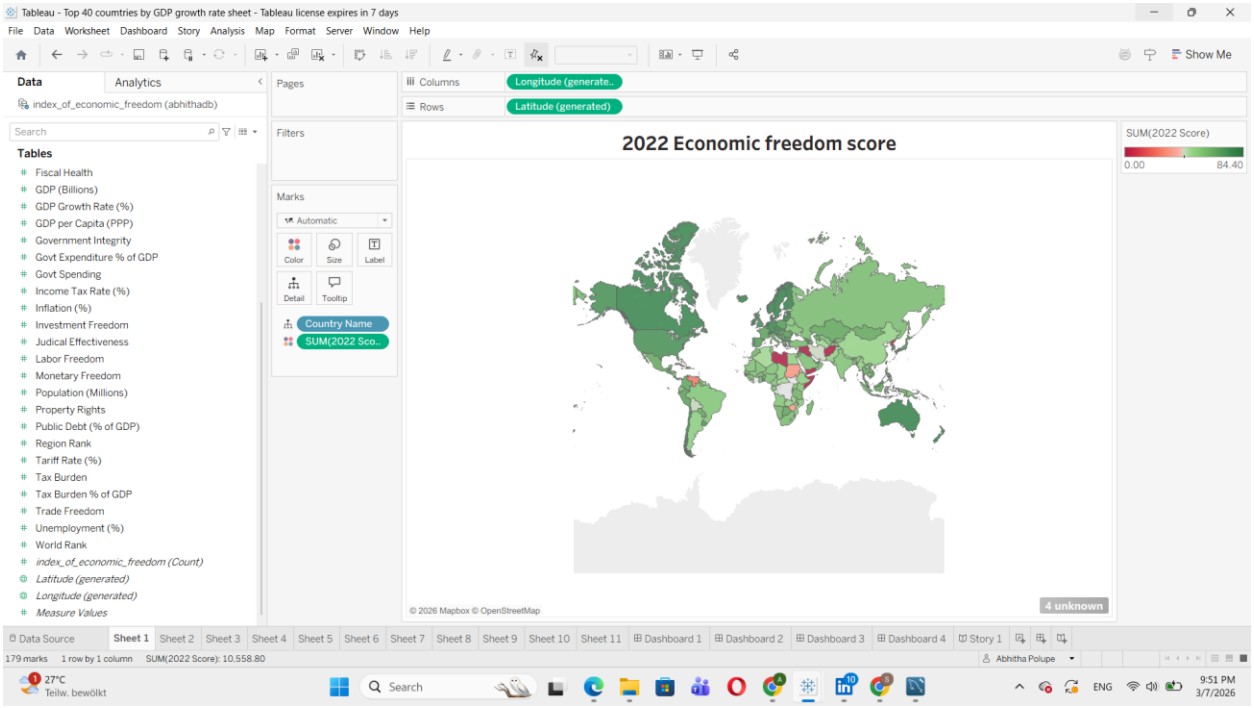
- Trade Freedom
- Investment Freedom
- Financial Freedom

These indicators collectively measure how effectively a country's economic policies support free market activity.

4. Worksheets Analysis

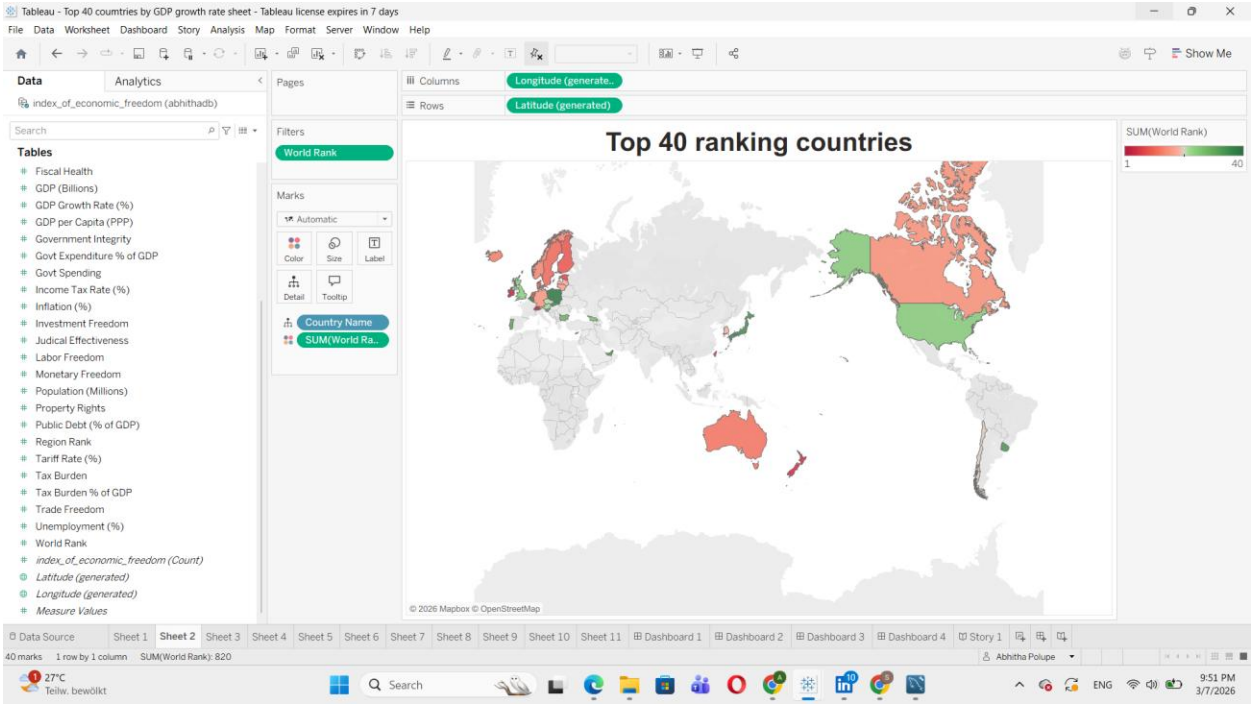
Global Economic Freedom Score

A world map visualizes economic freedom scores for different countries. Countries with higher scores appear in green, indicating stronger economic freedom.



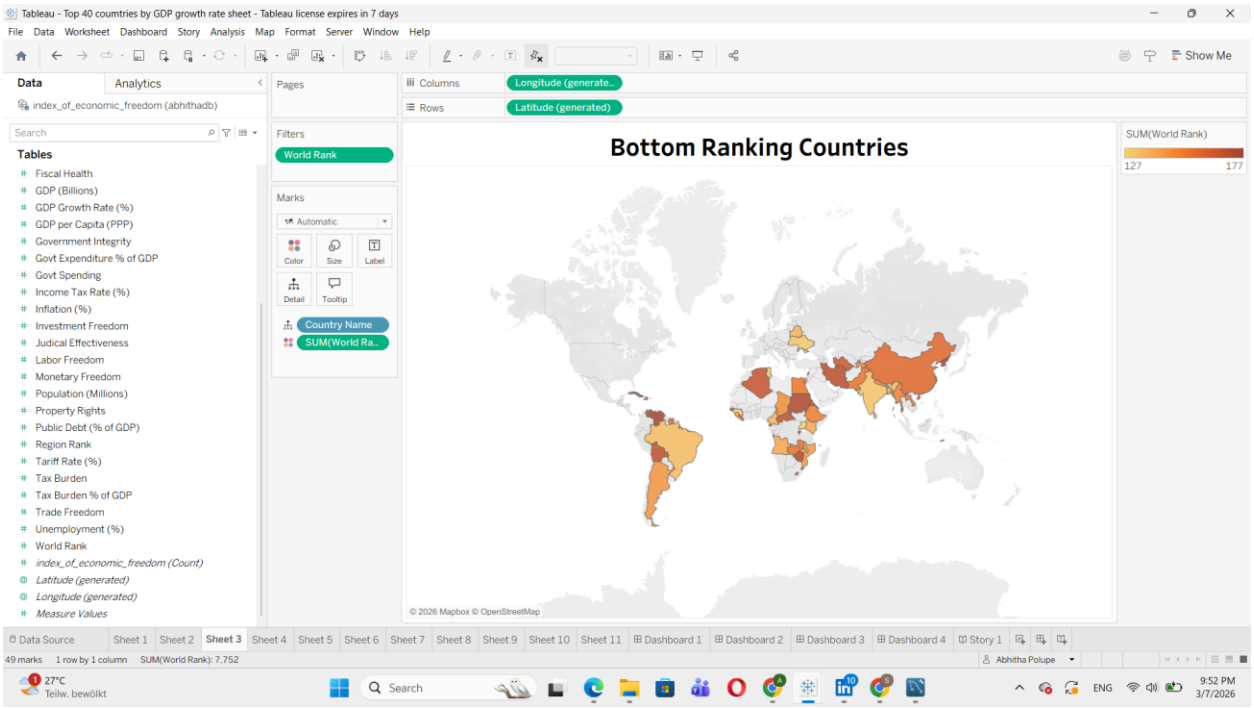
Top 40 Ranking Countries

A geographic visualization highlights countries that rank highest in economic freedom.



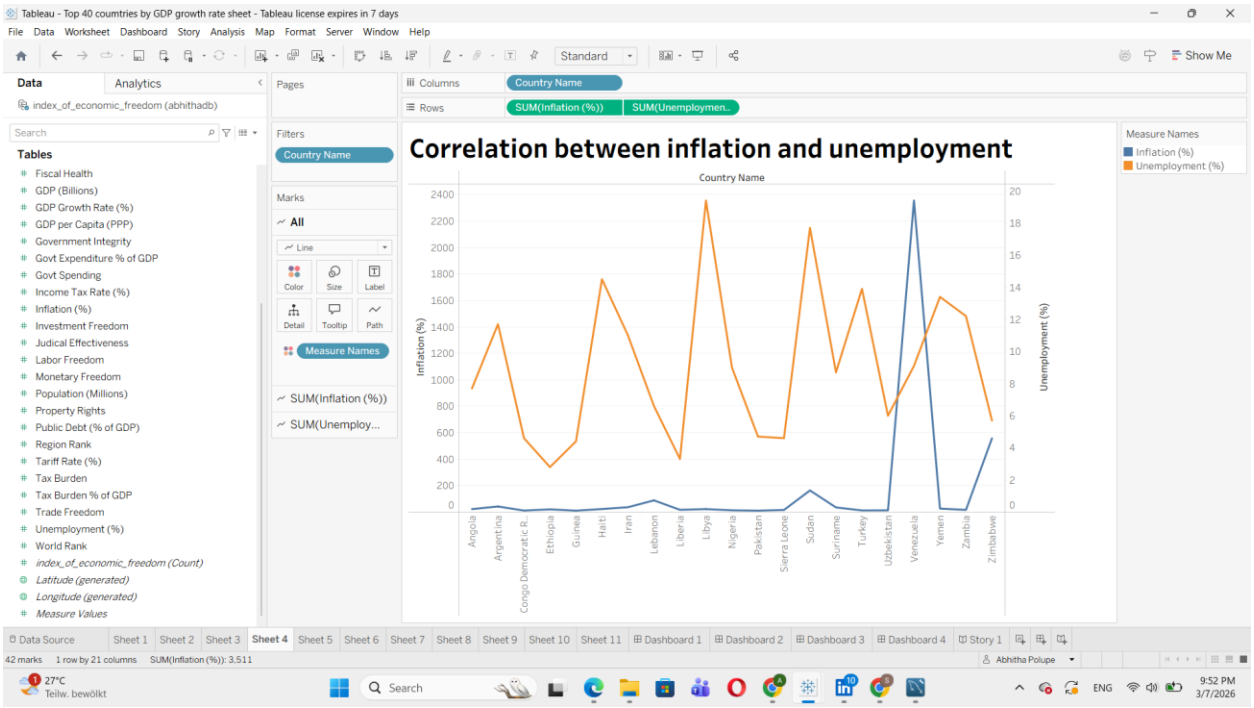
Bottom Ranking Countries

This map identifies countries with lower economic freedom scores.



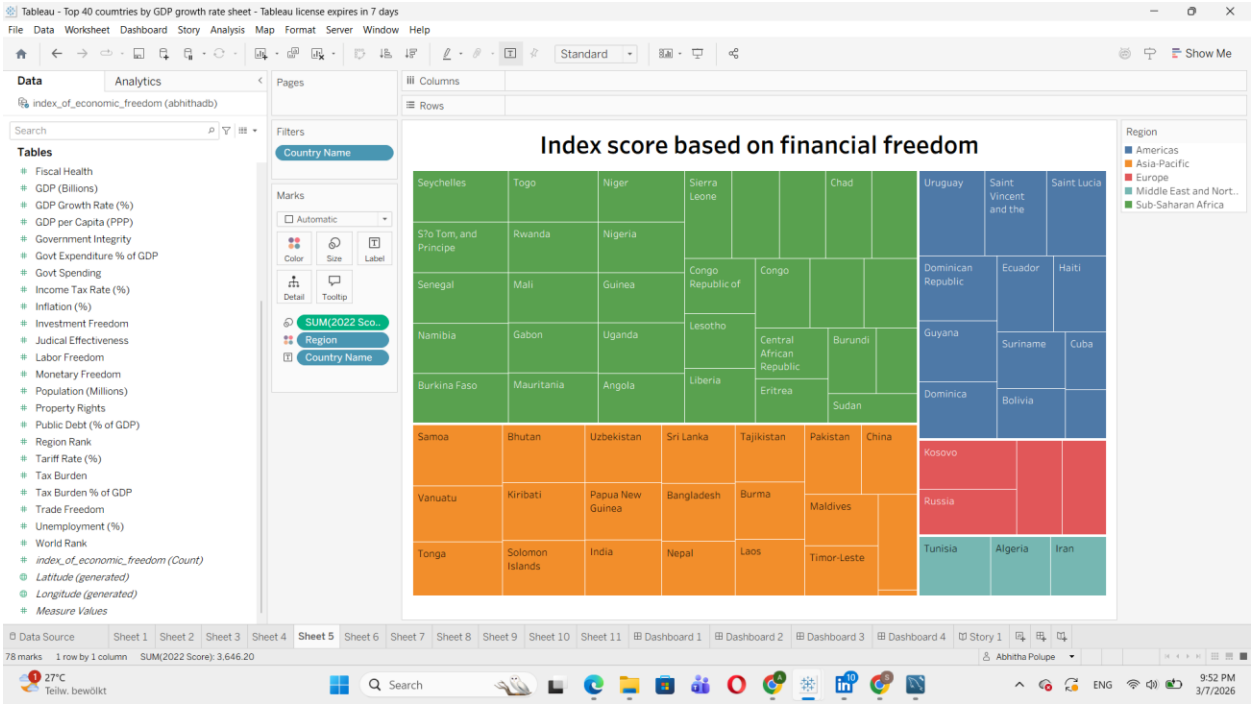
Correlation Between Inflation and Unemployment

A line chart compares inflation and unemployment rates across countries to identify economic relationships.



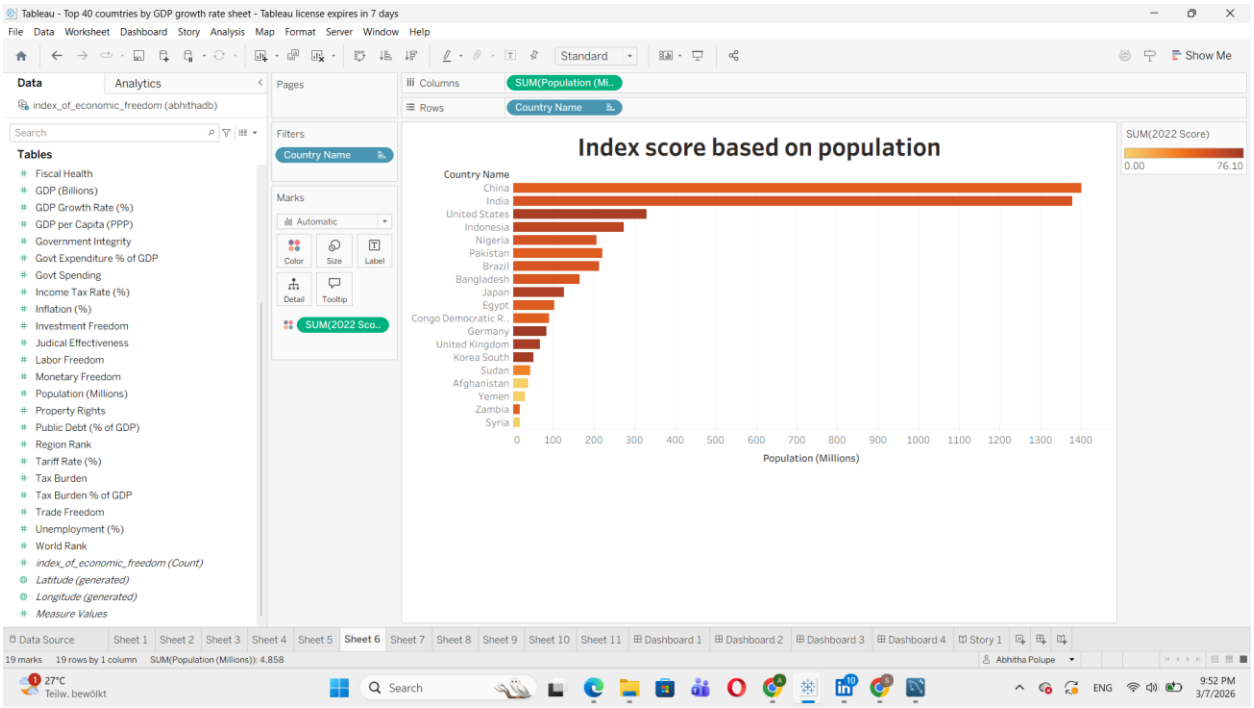
Financial Freedom Distribution

A treemap shows how countries are distributed across regions based on financial freedom scores.



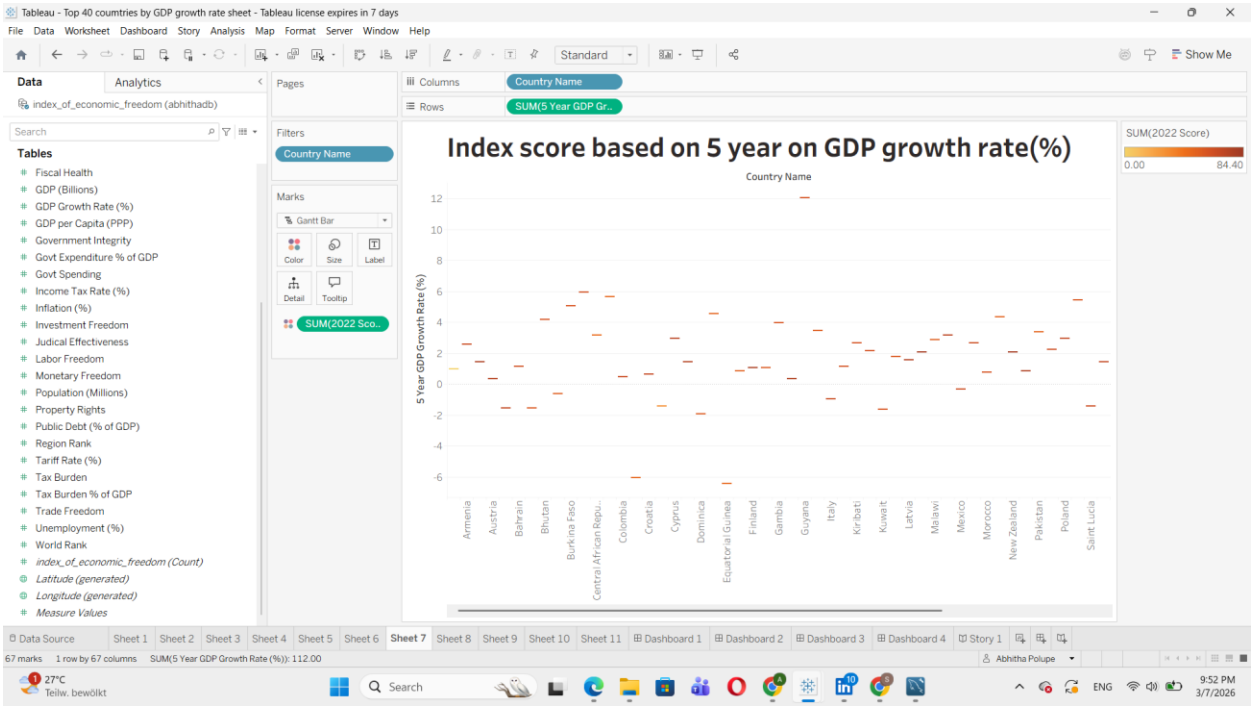
Population Index Analysis

A bar chart compares population sizes across countries.



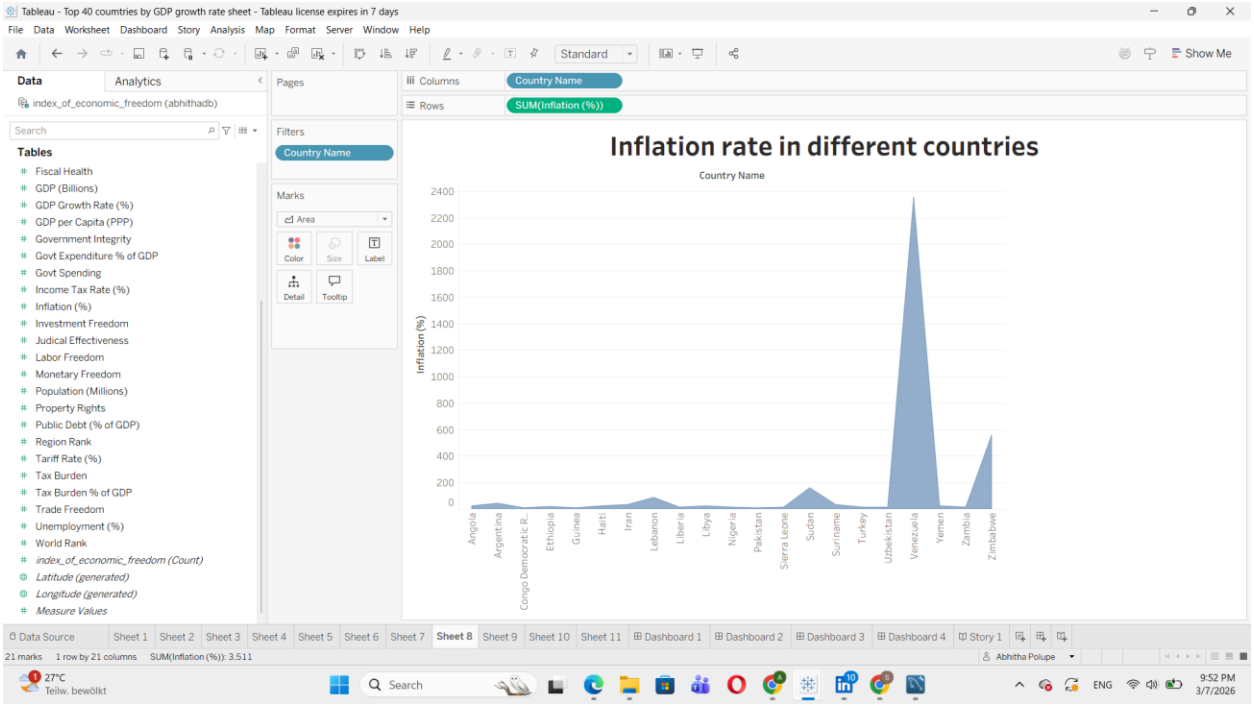
GDP Growth Rate Analysis

A scatter plot visualizes GDP growth trends across different nations.



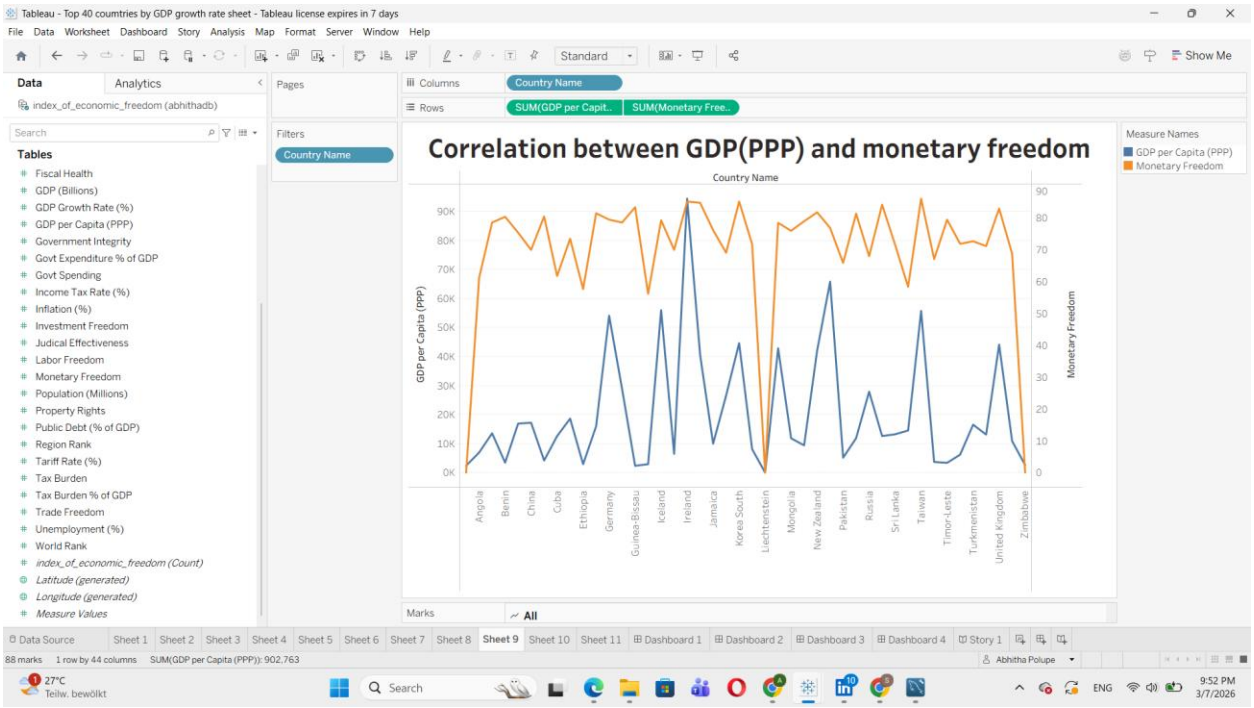
Inflation Rate Comparison

An area chart highlights inflation differences among countries.



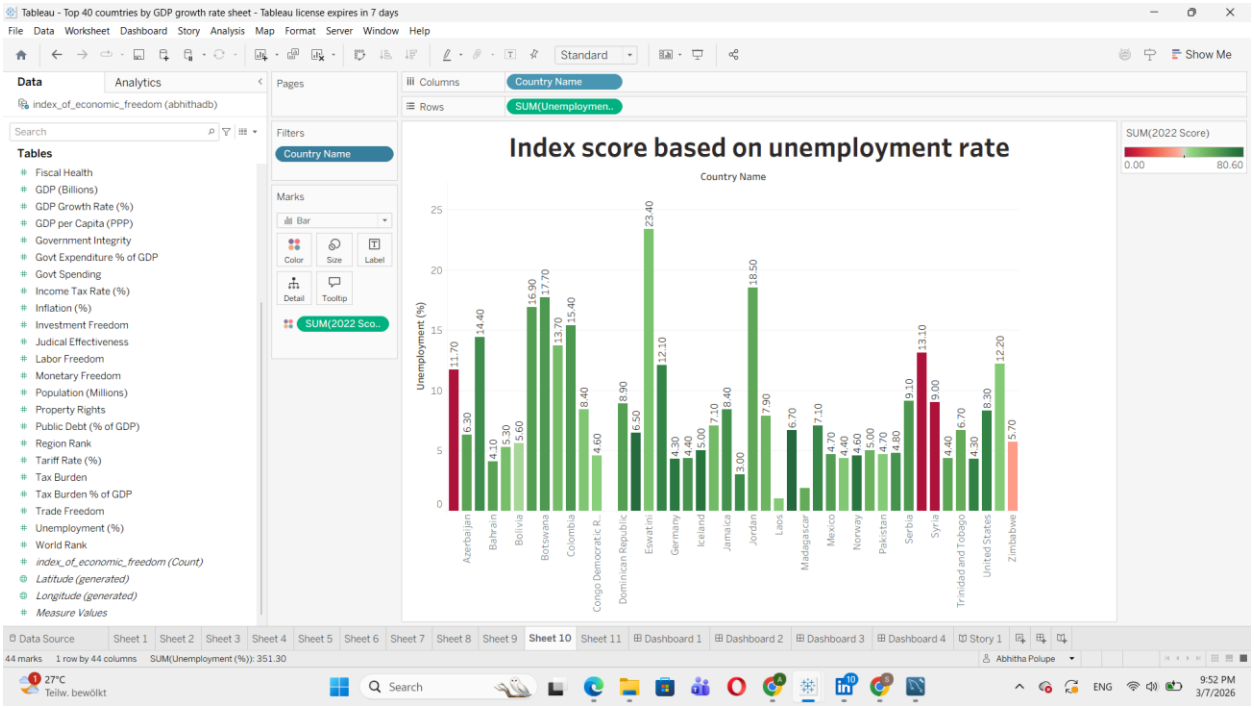
GDP per Capita vs Monetary Freedom

This chart explores the relationship between economic prosperity and monetary policies.



Unemployment Rate Analysis

A bar chart identifies countries with high and low unemployment rates.



5. Dashboards

The dashboards combine multiple visualizations to provide a comprehensive view of economic freedom.

Examples include:

- **Top and Bottom Ranking Countries Dashboard** showing geographic distribution.
- **Population and Financial Freedom Dashboard** combining population analysis with financial freedom indicators.
- **GDP Growth and Inflation Dashboard** highlighting economic stability indicators.
- **GDP and Monetary Freedom Dashboard** demonstrating the relationship between economic performance and financial policies.

These dashboards allow users to explore economic patterns interactively.

6. Story Insights

The Tableau Story integrates all visualizations into a narrative that explains economic trends.

Key insights include:

- Countries with higher economic freedom tend to show stronger economic stability.
- Inflation and unemployment rates influence overall economic performance.
- Regions with open markets and efficient regulations generally experience higher economic prosperity.
- Economic freedom plays a critical role in improving global living standards.

7. Conclusion

The analysis demonstrates that economic freedom significantly impacts a nation's prosperity and economic development.

Countries with strong institutions, transparent governance, and open markets tend to achieve higher economic freedom scores and better economic outcomes.

By analyzing economic indicators such as GDP growth, unemployment, and inflation, the project highlights the importance of policies that promote economic freedom and sustainable growth.

8. Future Scope

Future work could expand this analysis by:

- Including data from multiple years to study long-term trends.
- Applying machine learning techniques to predict economic growth.
- Integrating additional indicators such as education, healthcare, and technological innovation.
- Developing interactive web dashboards for real-time economic monitoring.

9. Tools Used

- Tableau Desktop
- MySQL Database
- Data Visualization Techniques
- Economic Freedom Index Dataset

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